Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

23.1 Introduction to International Trade

- **International trade** refers to the exchange of goods and services between different economies.
- Assumptions
  - there are only two countries and two goods
  - the marginal costs of production in the two countries are constant
  - there is no transaction cost or transportation cost

23.2 Absolute Advantage and Comparative Advantage

- Meaning of absolute advantage and comparative advantage

Absolute advantage	Comparative advantage
With the same amount of resources, a country has an absolute advantage over another country in the production of a good if it can produce more of the good than the other country.	**A country has a comparative advantage over another country in the production of a good if it can produce the good at a lower opportunity cost than the other country.**

Without information about the amount of resources used in production, we cannot determine which country has an absolute advantage in producing a good.

- A country having an absolute advantage in producing a good means:
  - it **can produce more of the good with the same amount of resources**;
  - it **can use fewer resources to produce the same amount of output**;
  - it has a **higher productivity** in producing the good

Even when all countries have the same amount of resources, their opportunity costs of producing goods may still be different.

- Absolute advantage versus comparative advantage
  - **Comparative advantage** is reciprocal in nature, i.e. if a country has a comparative advantage in producing a good, it has a **comparative disadvantage** in producing the other good.
  - It is possible for a country to have **an absolute advantage** in producing both goods while the other country has an **absolute disadvantage** in producing both goods.

When a country has a comparative advantage in producing a good, it may not also have an absolute advantage in producing the good.

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23.3 The Principle of Comparative Advantage

- The **principle of comparative advantage** states that **if each country specialises in the production of a good in which it has a lower opportunity cost, the total output will increase.**
- It is possible for both countries to enjoy more output after trade.

Complete specialisation does not always lead to an increase in the total output of each good.

23.4 Terms of Trade and Gains from Trade

Terms of trade

- **Terms of trade (T.O.T.)**
  - It refers to the amount of goods that a country must export to get 1 unit of import, or the amount of goods it must import to export 1 unit of goods.
  - It is the **international price** of a good.
- A mutually beneficial terms of trade
  - must lie between the opportunity costs of producing the good for the exporting country (i.e. the seller) and the importing country (i.e. the buyer), i.e.

$$\text{Opportunity cost of producing the good for the exporting country} < \text{Terms of trade of the good} < \text{Opportunity cost of producing the good for the importing country}$$

- The terms of trade determines the pattern of production and the direction of trade:

T.O.T. > domestic cost	T.O.T. < domestic cost	T.O.T. = domestic cost
The country can gain from producing and exporting (selling) the good.	The country can gain from importing (buying) the good.	The country cannot gain from trading with other countries. Trading of the good may not occur.

Gains from trade

- Calculations of gains from trade

$$\text{Exporting country's gain from trade} = \text{Terms of trade of the good} - \text{Exporting country's opportunity cost of producing the good}$$

$$\text{Importing country's gain from trade} = \text{Importing country's opportunity cost of producing the good} - \text{Terms of trade of the good}$$

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- The larger (smaller) the difference between the terms of trade and the opportunity cost, the larger (smaller) the gain from trade for the country.
- Transaction cost and gains from trade
  - Gains from trade are reduced with:
    - transportation cost; and
    - costs related to political instability and wars.



If the transaction cost exceeds the potential gains from trade, countries will not trade with each other.

23.5 External Trade in Hong Kong

Pattern of trade in Hong Kong

- Hong Kong's merchandise trade (visible trade)
  - Hong Kong is a major re-export centre.
  - Hong Kong relies heavily on imports.
- Hong Kong's trade in services (invisible trade)
  - Travel and transport are two largest service components in exports of services.
  - The Mainland of China was the largest services trading partner of Hong Kong.

Importance of trade to the Hong Kong economy

- Export, import and Hong Kong's GDP
  - In 2017, exports of goods were about 158% of Hong Kong's GDP and imports of goods were about 165% of the GDP.
  - A growing external trade sector also stimulates the demand for services of other trade-related business sectors.
- Other benefits of trade to the Hong Kong economy
  - Widening the range of goods and raising the standard of living
  - Obtaining advanced production technology
  - Providing employment opportunities and earning foreign exchange
  - Enhancing international relationships

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